Quiz 3 — Short Answer

SID-50105 | ECON2001 Quiz 3

1. Question 1

Define opportunity cost and comparative advantage, giving an example of each.

Opportunity cost is the cost of something in money. Comparative advantage is being the best at producing something.

2. Question 2

Use a supply and demand model to analyse a binding rent ceiling in a city rental market, in the short run and the long run.

A rent ceiling means rents cannot go above a certain level. This makes renting cheaper so more people can afford housing, and the market will reach a new equilibrium at the ceiling price.

3. Question 3

Evaluate the trade-offs between a rent ceiling and targeted housing vouchers.

Rent ceilings are good because they make rent affordable. Vouchers are also good but they cost money.